

Meridian National Bank

Fixed Deposit Policy Document (sample / fictional)

1. Overview

A Fixed Deposit (FD) is a deposit where a sum is placed with the bank for a fixed tenure at an agreed interest rate. The rate is locked for the chosen tenure and does not change with market movements. This is a fictional document used for testing a retrieval system.

2. Interest rates by tenure

Tenure	General rate (p.a.)	Senior citizen rate (p.a.)
7 to 45 days	3.50%	4.00%
46 to 179 days	5.00%	5.50%
180 to 364 days	6.25%	6.75%
1 year to 2 years	7.00%	7.50%
2 years to 5 years	7.25%	7.75%
Above 5 years	6.75%	7.25%

3. Premature withdrawal

Deposits may be withdrawn before maturity. A penalty of 1.00% is deducted from the applicable rate for the period the deposit actually remained with the bank. Certain tax-saving deposits with a five-year lock-in cannot be withdrawn prematurely.

4. Interest payout options

Customers may choose monthly or quarterly interest payout, or a cumulative option where interest is compounded quarterly and paid with the principal at maturity. The cumulative option yields the highest effective return.

5. Nomination and renewal

A nominee may be registered for every deposit. Deposits can be set to auto-renew at maturity for the same tenure at the rate prevailing on the renewal date, unless the customer instructs otherwise.

All rates and terms shown are fictional and for demonstration only.